PRESS RELEASE

Owner Of Marketing Companies And DME Company Convicted For Role In $100 Million Scheme To Defraud Medicare And Other Insurers And To Violate The Anti-Kickback Statute

Thursday, March 6, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

NEWARK, N.J. A Florida man was convicted by a federal jury for his role in a durable medical equipment (DME) kickback scheme that caused millions of dollars in losses to Medicare and other insurance providers, United States Attorney John Giordano announced.

Following a month-long jury trial before U.S. District Judge Michael E. Farbiarz, Raheel Naviwala, 36, of Coral Springs, Florida, was convicted on Feb. 28, 2025, of conspiracy to commit health care fraud and wire fraud, one count of health care fraud, conspiracy to violate the Anti-Kickback Statute, and three counts of violating the Anti-Kickback Statute. He was also acquitted of two counts of health care fraud.

“This Office is committed to prosecuting those like the defendant who seek to profit by defrauding and corrupting our nation’s medical systems,” United States Attorney John Giordano said. “When people siphon millions from Medicare to line their own pockets, regular citizens pay the price. This case demonstrates that serious consequences will follow for such conduct.”

“The scheme Naviwala and his co-conspirators created to steal money from the government was complex and expansive,” FBI Acting Special Agent in Charge Terence G. Reilly said. “However, FBI Newark and our law enforcement partners have the expertise and grit to dig through mountains of data and find the fraudsters. We want this case to serve as a warning to anyone hoping to capitalize on hiding under the red tape - we are still here, and you will eventually get caught.”

“The defendant convicted in this case prioritized greed over the provision of appropriate health care services to patients, bilking the federal government for medically unnecessary durable medical equipment," stated Special Agent in Charge Naomi Gruchacz with the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). "HHS-OIG will continue to work with our law enforcement partners to ensure the integrity of the federal health care system and hold accountable owners and providers engaging in fraud that targets its programs."

"Investigating corrupt schemes that undermine the integrity of TRICARE, the healthcare system for military members and their families, is a top priority for the Department of Defense Office of Inspector General's Defense Criminal Investigative Service (DCIS)," stated Special Agent in Charge Patrick J. Hegarty, DCIS Northeast Field Office. "Mr. Naviwala's illegal schemes put the TRICARE program and its beneficiaries at risk. We are committed to working with our partner agencies and the Department of Justice to pursue those individuals who selfishly place personal gain over the safety and care of TRICARE beneficiaries."

"Schemes such as these compromise the integrity of VA's programs and services and divert funds from our nation's deserving veterans," said Special Agent in Charge Christopher F. Algieri with the Department of Veterans Affairs Office of Inspector General's Northeast Field Office. "The VA OIG will continue to work with our law enforcement partners to root out fraudsters and hold them accountable."

According to the evidence at trial:

Naviwala and his coconspirators purchased lists of Medicare patients' names, addresses, and phone numbers, and hired telemarketers to convince the patients to get DME (orthotic braces). These telemarketers pre-filled prescriptions and picked the highest-paying braces to bill to insurers. Naviwala then paid telemedicine doctors to sign the pre-filled prescriptions for braces, regardless of whether the patients needed or wanted braces. Generally, the telemedicine doctor did not even speak to the patients before signing the pre-filled prescriptions.

Naviwala then sold the signed prescriptions to DME supply companies that could bill Medicare, TRICARE, and other insurers for the braces. To conceal the fraud, Naviwala and his coconspirators signed sham contracts and used sham invoices that falsely represented that Naviwala was billing DME supply companies for marketing or consulting.

Naviwala also owned and operated a DME supply company that was used to bill Medicare, and which submitted claims to Medicare for up to nine braces for a single patient.

To further conceal his illegal conduct, Naviwala put multiple of his businesses in the names of nominee owners. The nominee owners generally performed no legitimate work for any company and were paid to hide Naviwala's involvement.

Medicare and other insurers paid hundreds of millions of dollars to members of the conspiracy and paid at least approximately $100 million for DME associated with Naviwala's companies. Naviwala personally pocketed more than $10 million in fraud proceeds.

Conspiracy to commit health care fraud and wire fraud is punishable by a maximum potential penalty of 20 years in prison. Health care fraud is punishable by a maximum potential penalty of 10 years in prison.

Conspiracy to violate the federal Anti-Kickback Statute is punishable by a maximum potential penalty of five years in prison. Each count of illegal kickbacks is punishable by a maximum potential penalty of 10 years in prison. Each count is also punishable by a fine. Sentencing is scheduled for 10 a.m. on July 29, 2025, before Judge Farbiarz in Newark.

United States Attorney John Giordano credited special agents of the FBI, under the direction of Acting Special Agent in Charge Terence G. Reilly in Newark; HHS-OIG, under the direction of Special Agent in Charge Naomi Gruchacz; DCIS, under the direction of Special Agent in Charge Patrick J. Hegarty; and the U.S. Department of Veterans Affairs Office of Inspector General, under the direction of Special Agent in Charge Christopher F. Algieri with the investigation leading to the conviction.

The government is represented by Assistant U.S. Attorneys Elaine K. Lou, Deputy Chief of the Criminal Division, Matthew Specht of the Special Prosecutions Division, and Aaron L. Webman of the Economic Crimes Unit in Newark.

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Topic

FINANCIAL FRAUD

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